A Socio-Economic Study about Income Security and Employment Stability Among Cashew Workers in Kollam

Dissertation submitted to the
St. Berchmans College (Autonomous)
in partial fulfilment of the requirements for the
Award of the degree of Bachelor of Arts in Economics

By

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Certificate

I certify that the dissertation entitled ***"A Socio-Economic Study about Income Security and Employment Stability Among Cashew Workers in Kollam"*** is a bonafide research work done by **Adarsh Dinesh Reg. No. 12207205, Jerin Babu Reg. No. 12207223, S.Yadukrishnan Reg. No. 12207236, Sahin.S Reg. No. 12207246**, for the partial fulfilment for the award of the degree of **Bachelor of Arts** in **Economics** by St. Berchmans College, Changanacherry under my supervision.

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I also declare that this dissertation has not been submitted by me partly or fully for the award of my degree, diploma, title or recognition earlier.

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Acknowledgement

This study will not be complete without acknowledging our sincere gratitude to all persons who have helped us in the preparation of this dissertation.

We extent our heartful thanks to **Rev. Fr Reji P Kurien**, Principal St. Berchmans College, Changanacherry

Our deepest sense of gratitude to **Dr Pavanam Thomas**, Department of Economics, St. Berchmans College, Changanacherry under whose hearted encouragement this work has been completed, and we are thankful to him for his inspiring guidance.

We also use this occasion to thank **all the faculty members**, especially **Dr Shinu Varkey**, Head of the Department, Department of Economics, St. Berchmans College, Changanacherry.

We take this an opportunity to thank to **family members** and **friends** for their continuous source of encouragement and help in making this dissertation a reality.

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CHAPTER - 1

INTRODUCTION

1.1 Introduction

The cashew industry has been a vital pillar of Kerala's agricultural economy, significantly contributing to employment and export revenue. Kollam, historically known as the 'Cashew Capital of the World,' has been at the forefront of cashew processing, with a well-established network of factories and trading enterprises. Cashew processing in Kerala is largely labour-intensive, employing thousands of workers, particularly women, who are engaged in various stages of production such as shelling, peeling, grading, and packaging. Despite its economic significance, the sector faces numerous challenges, including fluctuating global market prices, competition from mechanized processing units, and the socio-economic vulnerabilities of its workforce.

The employment patterns in the cashew industry are often characterized by informality, seasonal fluctuations, and income insecurity. Many workers in the sector do not receive stable wages or social security benefits, making them highly vulnerable to economic downturns and shifts in global trade policies. Additionally, labour conditions, occupational hazards, and the impact of mechanization have raised concerns regarding the long-term sustainability of employment in this industry.

Thus, it is essential to examine the socio-economic status of cashew workers in Kollam, focusing on aspects such as income security, employment stability, and the effectiveness of labour welfare measures. This study seeks to provide a comprehensive analysis of employment trends in Kollam's cashew industry, contributing to discussions on policy interventions, worker protection, and sustainable livelihoods.

1.2 Significance of the Study

The cashew sector plays a crucial role in Kerala's economy, providing livelihoods to a significant section of the population. The industry not only contributes to employment generation but also has strong linkages with allied industries such as logistics, packaging, and exports. However, declining profitability, mechanization, and the increasing reliance on imported raw cashews have created uncertainties in employment. Many workers lack formal employment contracts, making them vulnerable to unpredictable income fluctuations, occupational hazards, and limited access to social security schemes.

Understanding the income security and employment conditions of cashew workers is essential for policymakers, industry stakeholders, and labour welfare organizations. This study aims to provide empirical insights into the financial stability, job security, and quality of life of workers in Kollam's cashew industry. The findings will help in formulating policies aimed at improving labour welfare and ensuring the sustainability of the sector in Kerala's economic landscape.

1.3 Statement of the Problem

Despite the critical role of the cashew industry in providing employment in Kollam, Kerala, workers face significant challenges related to income instability and employment insecurity. The seasonal nature of cashew processing, coupled with low wages, inadequate social protections, and job instability, impacts the economic well-being and quality of life of these workers. There is a need to understand the extent and causes of income and employment instability within the industry, as well as the socio-economic effects on workers and their households. Also, identifying the factors that could enhance income stability and job security in this sector is essential for developing policies to improve the livelihoods of cashew workers. This study seeks to address these gaps and provide insights into possible interventions for socio-economic enhancement in the cashew processing industry.

1.4 Objectives

The study aims:

1. To assess the income patterns and stability of earnings among cashew workers in Kollam.
2. To examine employment stability and job security within the cashew processing industry.
3. To identify socio-economic impacts of income and employment instability on workers' quality of life.
4. To investigate factors influencing income and employment security, such as seasonality and wage policies.
5. To provide policy recommendations to enhance income security and employment stability for cashew workers.

1.5 Research Methodology

This study used cross sectional data to assess the income stability and employment security of the cashew workers in Kollam. It focuses on worker's income patterns, job stability and the socio-economic conditions of the workers in the cashew processing industry.

The study primarily collected quantitative data through structured surveys, which include questions related to income levels, job security, working conditions, and other socio-economic variables. The survey is designed to capture both objective data (income, working hours, job tenure) and subjective data (perceived job security, satisfaction with income).

Qualitative data is also gathered through open-ended questions or informal interviews to gain deeper insights into the workers' personal experiences, challenges, and suggestions regarding employment stability.

A convenience sampling method is used for primary data collection. A total of 60 cashew workers participated in the survey. Workers from different sections of the factory, such as processing, packaging, and quality control, were approached during break times to ensure

ease of participation. Though this method allows for efficient data collection, it limit the generalizability of findings.

1.6 Limitations of the Study

While this study aims to provide a comprehensive analysis of the income security and employment stability of cashew workers in Kollam, certain limitations must be acknowledged:

- The study is limited to the Kollam district and may not fully represent the conditions of cashew workers in other parts of Kerala or India.
- The research relies on self-reported data, which may be subject to recall bias or social desirability bias.
- The dynamic nature of global trade policies and mechanization trends means that some findings may require periodic updates to remain relevant.
- The study primarily focuses on the socio-economic conditions of workers and does not extensively analyse the profitability and business models of cashew processing units.

1.7 Chapter Scheme

The study is organized into five chapters:

- **Chapter 1:** Introduction, which provides background information, significance, statement of the problem, objectives, methodology, limitations of the study and chapter scheme.
- **Chapter 2:** Review of Literature, which discusses previous studies related to the cashew industry and employment security.
- **Chapter 3:** Overview of the Cashew Industry in Kollam, covering its historical significance, economic contributions, and structural challenges.
- **Chapter 4:** Data Analysis and Interpretation, presenting findings from primary and secondary data sources.

- **Chapter 5:** Summary of Findings, Policy Recommendations, and Conclusion, highlighting the key takeaways and proposed interventions for improving workers' socio-economic conditions.

CHAPTER - 2

LITERATURE REVIEW

The socio-economic conditions of workers in Kollam's cashew industry have gained significant attention due to their critical role in the regional and national economy. With the industry being a major source of employment, particularly for women, it faces challenges such as income instability, seasonal work, and lack of job security, which impact workers' livelihoods. This literature review includes the findings and insights from various studies that explore these issues and their socio-economic implications.

Nair, R., & Menon, V. (2018)- By focusing Kollam as a major cashew processing hub, this study provides a detailed assessment of employment and income patterns in Kerala's cashew industry. The paper highlights how seasonal employment causes significant income variability, particularly during non-productive months. Workers often face irregular wage payments, and their dependency on cashew work leaves them without alternate income sources during lean periods. The authors emphasize the need for systemic interventions to create employment stability and supplement incomes through alternate livelihood opportunities.

Thomas, L., & George, P. (2020): This study highlights the vulnerable position of women workers in the cashew sector, who constitute the majority of the labour force. Despite their significant contribution, women experience wage inequality, lack of formal benefits, and job insecurity due to seasonal demand fluctuations. The dual responsibilities of labour-intensive factory work and domestic duties further exacerbate their socio-economic challenges. The authors Advocate for gender-sensitive policies, including equitable wages, social security, and targeted skill development programs to enhance women's economic stability.

Das, R. (2016): The author critically evaluates the working conditions in traditional sectors like cashew processing. Workers in Kollam working under informal agreements,

where wages are often below statutory limits, and labour rights are unprotected. Long hours of repetitive manual work and exposure to harmful substances exacerbate job instability, as workers struggle with declining health. The absence of union representation leaves workers powerless to negotiate better wages or workplace protections, further perpetuating poverty cycles in the industry.

Pillai, J. (2017): This article examines how global trade policies and competition from cheaper international cashew products have adversely impacted Kerala's cashew industry. Factory closures and layoffs have increased employment instability, pushing workers into informal, low-paying jobs. This paper identifies the need for state-level interventions to modernize cashew processing units and safeguard worker livelihoods from global economic pressures.

Rajesh, K. (2019): It delves into the income vulnerabilities faced by cashew workers due to erratic work availability and wages. Seasonal unemployment leaves workers with no choice but to rely on high-interest loans or informal credit systems to survive. The study highlights the importance of integrating income security programs, such as unemployment benefits and micro-credit schemes, to stabilize the livelihoods of workers.

Devi, M. (2015): Devi's study recognizes the significant economic contributions of women workers while exploring their socio-economic hardships. Women often suffer from wage exploitation, long working hours, and health risks associated with manual cashew processing. The paper calls for reforms to improve workplace safety, provide fair wages, and establish healthcare support systems to address the unique challenges faced by women workers.

Kumar, S., & Balan, A. (2021): The authors Kumar and Balan identified health issues, including dermatitis, respiratory ailments, and musculoskeletal disorders are caused by repetitive tasks and chemical exposure. These results in frequent absenteeism and directly impact employment stability and income. The authors suggest implementing workplace health protocols and ensuring workers have access to affordable healthcare and compensation schemes.

Mathew, J., & John, F. (2018): This study focuses on cashew factories in Kerala in which how labour migration affects job availability and wages for local workers. Migrant workers' willingness to accept lower wages has intensified competition, reducing employment stability for native workers. The authors advocate for a balanced approach to migrant labour management while ensuring fair employment practices for all workers.

Krishnan, T., & Nair, P. (2020): This article evaluates the accessibility and effectiveness of social security measures for informal workers in Kerala, including cashew labourers. The study identifies gaps in implementation of policies like pensions and health insurance because of poor awareness among workers and some bureaucratic hurdles. Krishnan and Nair recommend streamlining policy delivery to ensure informal workers benefit from these schemes.

Rajan, P., & Pillai, M. (2017): Wage disparities and career stagnation for women in cashew processing units are the main points raised in this study. It highlights how gender inequality in wages and promotions leads to long-term economic disadvantages. Rajan and Pillai emphasize the need for policy interventions to ensure gender equity in wages, workplace safety, and opportunities for upward mobility.

Varghese, A. (2021): The author investigates the role of skill development programs in enhancing employment stability for cashew workers. The study finds that most workers lack access to formal training, which prevents them from transitioning into alternate employment during off-seasons. Varghese suggests government-supported training programs to upskill workers and improve their adaptability to labour market demands.

The literatures reviewed highlights several critical challenges in the cashew industry, particularly concerning income instability, job insecurity, gender disparities, health risks, and the impact of globalization. Research consistently shows that cashew workers in Kollam face seasonal employment fluctuations, low wages, and inadequate social security benefits, making their livelihoods highly vulnerable. Women, who constitute the majority of the workforce, experience wage discrimination, lack of formal benefits, and significant health hazards due to prolonged exposure to chemicals and repetitive physical

labour. Additionally, globalization and mechanization have intensified employment instability, as local cashew industries struggle to compete with cheaper international imports and mechanized processing units, leading to factory closures and job losses. While previous studies provide valuable insights, key gaps remain, particularly regarding long-term employment trends, as most research focuses on seasonal instability rather than tracking workers' career trajectories over time. Moreover, the effectiveness of social security measures remains underexplored, with limited research on their actual impact, accessibility, and workers' awareness of schemes such as pensions and health benefits. Furthermore, despite increasing mechanization in the industry, its implications for employment and wage structures remain insufficiently studied. Addressing these gaps, this study tries to provide an in-depth analysis of income security, employment stability, and policy effectiveness in Kollam's cashew industry.

By examining these studies, this review aims to provide a comprehensive understanding of the socio-economic challenges faced by the cashew workers. The findings of this study will serve as a basis for improving labour policies, ensuring fair wages, and safeguarding employment opportunities in the cashew sector.

CHAPTER 3

OVERVIEW OF THE CASHEW INDUSTRY IN KOLLAM

3.1 Introduction

The cashew industry has long played a pivotal role in Kerala's industrial and employment landscape, serving as a cornerstone of its export economy and a major source of livelihood, especially for women workers. Among the regions in Kerala, Kollam stands out as the epicenter of cashew processing and trade, earning the title "Cashew Capital of the World." This chapter provides a comprehensive overview of the cashew sector with a particular focus on Kollam. It explores the industry's historical development, structural characteristics, global importance, gender dynamics, socio-economic relevance, and emerging challenges—all of which directly impact the income security and employment stability of its workers.

3.2 Historical Background of the Cashew Industry in Kerala and Kollam

The cashew industry in Kerala, especially in Kollam, traces its roots back to the colonial era and has since evolved into a globally acknowledged traditional industry. Cashew (Scientific name: *Anacardium occidentale*), originally a native of Brazil, was introduced to India by the Portuguese in the 16th century. Initially planted along the coastal belt for soil conservation due to its strong root system and erosion-resistant nature, the commercial potential of cashew kernels remained untapped for several decades.

Over time, as the nutritional and commercial value of the cashew nut became recognized, there were efforts began to cultivate and process the crop for consumption and trade. The climatic conditions of Kerala, particularly its humid coastal regions, proved ideal for cashew cultivation. The state's access to port facilities further enabled easy export of processed kernels, laying the foundation for what would become one of India's most labour-intensive and economically significant agro-industrial sectors.

3.2.1 Early 20th Century – The Emergence of Kollam as a Cashew Hub

The transformation of Kollam into the "Cashew Capital of the World" began in the early 20th century. Visionary entrepreneurs and traders identified the economic potential of cashew processing, leading to the establishment of small-scale, often family-owned processing units. These units, known as *parboiling houses* or *godowns*, processed raw cashew nuts through manual labour, focusing on boiling, shelling, and peeling.

During this period, Kollam developed into a vibrant trade center for cashew export. Its strategic location along the Malabar Coast and the availability of a large labour force, especially women from nearby rural areas, accelerated its rise. The processed kernels were primarily exported to Western countries where demand steadily increased due to the nut's versatility and nutritional value.

3.2.1 1940s to 1970s – Growth through Private Enterprise and Cooperatives

The decades following India's independence saw the expansion of cashew industry rapidly. The post-colonial period marked the golden era of cashew processing in Kerala. By the 1940s and 1950s, Kollam had established itself as a global processing and export center. Both private entrepreneurs and cooperative societies played key roles in organizing and scaling operations.

This period witnessed:

- The rise of manual processing as a standardized method, ensuring quality and flavor.
- The formalization of labour, albeit with limited rights and protections.
- The establishment of trade networks connecting Kollam to raw nut-producing African nations such as Tanzania, Mozambique, and Guinea-Bissau.

Despite its economic success, this phase also saw exploitative working conditions—with long hours, low wages, and no employment security—especially for women workers who formed the majority of the workforce.

3.2.3 Post-1980s – Institutional Intervention and Worker Protection

With growing concerns about worker welfare, particularly after the global recession and rising competition from mechanized units abroad, the Government of Kerala stepped in during the 1980s to safeguard employment and labour rights in the sector.

Two major public sector undertakings were established:

- **Kerala State Cashew Development Corporation (KSCDC)**: Set up in 1969 and strengthened in the 1980s, KSCDC aimed to provide regular employment, fair wages, and social security benefits to workers.
- **CAPEX (Cashew Workers Apex Industrial Cooperative Society)**: This cooperative institution promoted better labour practices in the sector while trying to keep up production and exports.

These institutions adopted a worker-centric model, emphasizing equitable wage distribution, Provident Fund and ESI coverage, and workplace safety. They also preserved traditional hand-processing methods, which, although labour-intensive, retained kernel quality and flavor—an advantage over fully mechanized processing.

3.2.4 Kollam's International Recognition

By the turn of the millennium, Kollam had earned global recognition for its:

- Highly skilled female workforce, with expertise passed down through generations.
- Superior kernel grading and processing techniques, resulting in high market value.
- Emphasis on manual processing, which preserved taste and texture, setting it apart in the global market.

Even as Vietnam and African countries emerged as low-cost competitors using modern mechanization, Kollam remained an important symbol of traditional processing excellence. Its reputation helped maintain a niche market for premium hand-processed Indian cashew kernels.

3.3 Global Importance of Kollam's Cashew Industry

The cashew industry of Kollam holds a prominent and historically significant place not just in Kerala or India, but on the global economic map. Over the past century, Kollam has served as a vital node in the international cashew trade network, earning global acclaim for its distinctive hand-processed kernels and its unique integration of tradition, trade, and technology. Its role has evolved from being a regional processing hub to becoming a strategic global player in the cashew value chain.

3.3.1 Major Export Contributions

For several decades, Kollam contributed a substantial portion of India's total cashew exports, making India the largest exporter of cashew kernels for many years. Processed cashew kernels from Kollam were shipped to markets across the United States, Europe, the Middle East, and East Asia, where the Indian origin of the product commanded a premium reputation.

According to trade data from earlier decades, India's global cashew exports were largely routed through Kollam's trading firms and cooperatives, reinforcing the city's position as a linchpin of the international cashew economy.

3.3.2 Reputation for Quality and Processing Finesse

One of the primary reasons Kollam gained global importance was due to the high quality of its cashew kernels. Unlike many countries that transitioned to fully mechanized processes, Kollam's industry continued to rely on hand-processing methods, which preserved the natural taste, texture, and appearance of the nut. These features made Indian cashew kernels especially attractive to premium buyers and consumers worldwide.

- Grading standards were meticulously maintained, with Indian grades like **W180 (King of Cashew)** and **W240** in high demand.

- The manual peeling and grading by skilled women workers contributed to the superior quality, which distinguished Kollam's output in a crowded global market.

3.3.3 Kollam as a Global Cashew Trading Hub

Beyond processing, Kollam played an essential role as a commercial and logistical hub in the global cashew trade. It became a major importer of raw cashew nuts from African countries such as Tanzania, Benin, Ghana, Ivory Coast, Mozambique, and Guinea-Bissau.

Kollam-based traders maintained long-standing procurement relationships with African suppliers. The city hosted several cashew import-export houses, auction centers, and dry ports that handled bulk containerized trade through the nearby ports of Kochi and Thiruvananthapuram.

Thus, Kollam served as a connective bridge between raw material sources in Africa and consumption markets across the globe, playing a unique dual role in both upstream and downstream value chains.

3.3.4 Peak Production and Export Volumes

At the height of its productivity, Kollam's processing capacity reached a staggering level. Estimates suggest that the region processed over 800,000 metric tonnes of raw cashew nuts annually, employing more than 250,000 workers, most of whom were women.

This massive scale of operations included:

- Hundreds of private and cooperative factories
- Exporting over 1,00,000 tonnes of processed kernels annually
- Generating substantial foreign exchange revenue for the country

Kollam's dominance in the sector was so pronounced that international buyers and traders frequently visited the city to directly negotiate contracts, inspect shipments, and study processing techniques.

3.3.5 Contemporary Relevance Despite Challenges

Despite growing global competition, especially from Vietnam and African nations that have adopted cost-effective mechanized processing, Kollam continues to be recognized as a symbol of heritage and craftsmanship in the global cashew industry.

Several challenges have emerged such as rising labour costs, inconsistent availability of raw cashew imports, global price fluctuations and declining profit margins and emergence of low-cost, high-volume competitors

However, Kollam's emphasis on quality, combined with its legacy, skilled workforce, and established trade networks, ensures that it still contributes meaningfully to India's presence in the global cashew export market.

The city now focuses increasingly on:

- Targeting niche markets that value quality over quantity
- Promoting sustainably sourced and ethically processed cashew products
- Expanding value-added offerings such as flavored, roasted, and organic cashew products.

3.4 Structure and Employment Dynamics

The cashew processing industry is one of the most labour-intensive agro-industrial sectors in India, employing thousands of workers in a wide range of manual operations. From steaming and shelling to peeling, grading, and packing, every stage of cashew processing demands precision, experience, and physical effort. The industry's structure is deeply intertwined with the socio-economic fabric of Kollam, offering employment to a large section of the region's population—particularly to women from low-income households.

This structure not only provides direct employment opportunities to thousands of individuals but also plays a crucial role in sustaining the local economy and livelihoods, especially for women from socio-economically weaker backgrounds, who constitute more than 85% of the total workforce in the sector.

3.4.1 Nature of Employment

The pattern of employment within the cashew industry is largely informal and precarious, with most workers engaged on seasonal, casual, or daily wage arrangements rather than formal contracts. This mode of employment is characterized by:

- **Seasonal or Daily Wage Basis**: Factories often operate for only a few months in a year, primarily when raw nuts are available. Workers are employed during this period and are laid off when supply dwindles, creating an unstable source of income.
- **Irregular or Piece-Rate Wages**: In most of the units, wages are not fixed monthly salaries but are tied to output levels (e.g., kilograms peeled or shelled). This piece-rate system leads to unpredictable earnings, directly influenced by the worker's speed, health, and available workload.
- **Lack of Formal Contracts**: A significant proportion of workers do not possess written employment contracts, which makes them vulnerable to sudden layoffs, wage disputes, or denial of legal entitlements. The absence of job permanency intensifies their economic insecurity.

This unstable employment structure makes workers—especially women—financially vulnerable, forcing many to depend on informal loans or supplementary incomes during off-seasons.

3.4.2 Types of Processing Units

The ownership and management structure of cashew processing units in Kollam vary, and this diversity influences the nature of worker experience:

- **Private Factories**: These include both small-scale family-run units and larger commercial establishments. Although they offer employment to a substantial number of workers, they are often criticized for inconsistent wage practices, lack of welfare provisions, and limited job security.
- **Cooperative Units**: These are run by worker societies or federations such as **CAPEX (Cashew Workers Apex Cooperative Society).** They aim to ensure fair wages, better working conditions, and basic welfare provisions, although their reach and capacity are often limited by financial constraints.
- **Public Sector Enterprises**: Notably, the **Kerala State Cashew Development Corporation (KSCDC)** plays a major role in providing structured employment with benefits such as pension schemes, provident fund contributions, and healthcare coverage. These units serve as a model for ethical employment, though their scale remains insufficient to absorb the large number of casual workers.

The co-existence of these three types of units results in significant disparities in labour rights, wages, and social protections, depending on where a person is employed.

3.4.3 Regional Concentration and Economic Dependence

The Kollam district alone hosts more than 600 cashew processing factories, marking it as the largest cashew processing cluster in India. This high concentration is a product of both historical development and infrastructure availability, including trade links, port access, and a trained local labour force.

As a result, entire communities in Kollam are economically dependent on the cashew industry. For many households, cashew processing represents the only viable source of livelihood, especially in semi-urban and rural areas. The downturn or closure of even a few factories can cause severe disruptions in the lives of hundreds of workers.

This deep economic entrenchment makes the stability of the industry directly tied to the socio-economic well-being of a large section of the Kollam population.

3.5 Women in the Cashew Industry

Women form the backbone of Kollam's cashew industry, particularly in labor-intensive and delicate processing stages such as peeling, grading, and packaging. These stages demand precision, patience, and fine motor skills—qualities that women workers consistently demonstrate. Their contribution is central to the industry's productivity and reputation. However, despite their significant role, the socio-economic conditions of women workers remain marked by deep structural inequalities and vulnerabilities.

Issues Faced by Women Workers:

- **Wage Disparities Despite Equal Work:** A major issue faced by women in the cashew sector is unequal pay. Despite engaging in the same tasks as men—and in many cases, more time-consuming or intricate ones—women are often paid lower wages. This wage gap reflects systemic gender bias in the labor market and undermines the principle of fair compensation for equal work.
- **Lack of Maternity Benefits, Pensions, and Health Coverage:** Many women workers are employed on a daily-wage or contractual basis, without formal recognition or legal safeguards. As a result, they are denied access to essential benefits such as paid maternity leave, retirement pensions, and health insurance. This lack of social security exposes them to heightened financial risk during times of illness, pregnancy, or old age.
- **Double Burden of Factory Labour and Household Responsibilities:** In addition to their demanding roles in the factory, most women also shoulder the primary responsibility for domestic chores and caregiving at home. This dual workload places an immense physical and mental burden on them, often leading to fatigue, stress, and diminished personal well-being, with little or no support from institutional or social systems.

- **Poor Occupational Safety Standards Affecting Long-term Health:** The working environment in many cashew factories lacks adequate safety protocols. Prolonged exposure to cashew shell oil, dust, and chemicals can cause skin disorders, respiratory problems, and eye irritation. Furthermore, the absence of ergonomic seating or proper ventilation contributes to chronic health issues over time, such as back pain, joint problems, and fatigue.

While employment in the cashew industry has provided women with a degree of economic empowerment and autonomy, the lack of formal labor protections, decent wages, and welfare measures continues to place them in a highly vulnerable position. Without targeted interventions and policy reforms, women workers remain exposed to exploitation and insecurity—making them the most disadvantaged group within the cashew processing sector.

3.6 Socio-Economic Importance of the Cashew Industry

Contributions of the cashew industry extend far beyond direct employment in processing units, permeating various allied sectors and impacting the livelihoods of thousands.

3.6.1 Support to Allied Sectors

The economic influence of the cashew industry extends to several ancillary industries. Activities such as transportation of raw cashew nuts, packaging of processed kernels, shipping for export markets, and quality assurance through food safety testing form a vital economic chain that thrives alongside the core processing sector. These industries not only derive substantial revenue from the cashew trade but also create additional employment opportunities, thereby reinforcing the broader regional economy.

3.6.2 Source of Income for Families

The cashew industry serves as a crucial source of livelihood for thousands of families, especially in coastal and semi-urban areas of Kerala. In districts like Kollam, entire communities depend on this industry for their daily sustenance. A significant proportion of the workforce comprises women, who often support their households through earnings

from cashew processing work. The industry, thus, plays a key role in poverty reduction, women's empowerment, and socio-economic inclusion.

3.6.3 Preservation of Traditional Skills

One of the unique features of the cashew sector in Kerala is its reliance on traditional, hand-based processing techniques. These methods, including manual shelling, peeling, and grading, have been passed down through generations and form part of the region's cultural heritage. By sustaining demand for these artisanal skills, the industry not only ensures employment but also contributes to the preservation of intangible cultural assets.

3.6.4 Contribution to Rural Development

The cashew sector provides an important avenue for non-agricultural employment in rural areas, offering job opportunities to workers who might otherwise be dependent on seasonal or subsistence agriculture. This diversification of employment is critical for rural economic stability and helps reduce rural-to-urban migration by making village economies more vibrant and self-sustaining.

3.6.5 Policy Neglect and Challenges

Despite its far-reaching socio-economic importance, the cashew industry faces multiple challenges due to a lack of adequate policy support and modernization efforts. Workers often operate in outdated facilities with limited access to social security, wage protection, or labor rights. Inconsistent raw material supply, fluctuating international prices, and competition from mechanized processing in other countries further exacerbate the vulnerability of the sector. The absence of strategic intervention threatens the livelihoods of thousands and jeopardizes the socio-economic gains accumulated over decades.

3.7 Key Challenges Affecting Workers' Stability and Income

While it has been a cornerstone of livelihood in Kollam, the industry is increasingly grappling with a range of challenges that directly affect the employment stability, income

security, and overall well-being of its workers. These challenges arise from a mix of structural inefficiencies, global economic trends, and domestic policy gaps.

3.7.1 Seasonality of Work

One of the most significant challenges facing cashew workers is the seasonal nature of employment. Cashew factories typically operate from February to August, coinciding with the availability of raw cashew nuts. For the remaining months of the year, most units either function at minimal capacity or shut down entirely.

- During the off-season, workers are left without any regular source of income, leading many to depend on informal loans or alternative casual jobs.
- There is no provision for unemployment allowances or guaranteed off-season support, leaving families economically vulnerable.
- Workers experience a recurring cycle of employment and distress, which contributes to chronic financial insecurity and emotional stress.

This seasonal dependence reduces the overall earning capacity of workers and contributes to intermittent poverty, even among long-term employees.

3.7.2 Import Dependence and Global Price Volatility

Kerala does not produce enough raw cashew nuts to meet the processing demand of its factories. As a result, the industry relies heavily on imports from African countries such as Tanzania, Ghana, and Ivory Coast.

- This import dependency makes the sector vulnerable to international price fluctuations, shipping delays, and quality inconsistencies.
- Rising global prices for raw nuts or disruption in trade routes can lead to production halts, directly affecting worker employment.

- India faces intense price competition from countries like Vietnam, which not only produce cashew nuts but also process them using fully automated systems at a much lower cost.

Such volatility places both factory owners and workers in a precarious economic position, reducing job security and factory viability.

3.7.3 Mechanization and Factory Closures

The global shift toward mechanized cashew processing, particularly in countries like Vietnam and Brazil, has put additional pressure on Kollam's manual, labour-intensive processing model.

- Automated units abroad are able to process larger volumes at lower cost, capturing international markets that were once dominated by Kerala.
- The labour-driven model of Kollam, though superior in quality, struggles with high operational costs and low scalability.
- Several small and medium factories have closed due to lack of competitiveness, financial constraints, or inability to modernize.

This trend leads to rising unemployment, with long-serving workers left without alternative job prospects or upskilling options.

3.7.4 Health Hazards

Cashew processing, particularly in its manual form, exposes workers to several occupational health risks, most of which are neglected in terms of policy and infrastructure.

- The cashew shell liquid (CNSL) is acidic and corrosive, causing burns, skin irritation, and dermatitis in workers handling unprocessed nuts.
- Poorly ventilated factory spaces and long hours in a repetitive posture result in respiratory problems, back pain, and chronic fatigue.

- Many workers, especially women, do not have access to regular medical checkups, insurance coverage, or sick leave.

Despite decades of operation, occupational safety norms remain poorly implemented, especially in private and informal units.

3.7.5 Informality and Lack of Social Security

A large portion of the workforce in Kollam's cashew sector is employed informally, without written contracts, identification cards, or structured work agreements.

- As a result, workers are often excluded from essential benefits such as Employees' State Insurance (ESI), Provident Fund (PF), pension schemes, and maternity leave.
- Many workers are unaware of their rights or fear retaliation if they raise concerns.
- The absence of formal employment structures means there is no grievance redressal system, making workers vulnerable to exploitation, sudden layoffs, and wage delays.

This systemic informality creates long-term socio-economic insecurity, particularly for aging workers who have spent decades in the industry without any form of retirement or savings plan.

The challenges facing workers in the Kollam cashew industry are both structural and systemic, directly impacting their income and employment stability. The issues highlight the urgent need for comprehensive policy interventions, workplace reforms, and labour empowerment strategies to safeguard the future of this crucial workforce.

3.8 Government Interventions

Recognizing the socio-economic significance of the cashew industry in Kerala—especially in Kollam—the Government of Kerala and other institutional stakeholders have implemented various measures to safeguard the interests of cashew workers and

ensure the sustainability of the sector. These interventions range from public sector employment initiatives and cooperative support systems to labour welfare schemes, financial assistance, and proposed policy reforms. However, despite these efforts, the impact of government interventions remains uneven, often hindered by poor implementation, lack of awareness, and resource constraints.

3.8.1 Institutional Support: KSCDC and CAPEX

Two major public initiatives were established specifically to protect workers from exploitation and offer secure employment:

- **Kerala State Cashew Development Corporation (KSCDC)**: Founded in 1969, KSCDC is a government-owned enterprise that aims to provide fair wages, regular employment, and welfare benefits to cashew workers. It operates several factories and ensures compliance with labour laws, offering ESI, PF, pension schemes, and maternity leave, especially to women workers. It is considered a model employer in the industry.
- **CAPEX (Cashew Workers Apex Industrial Cooperative Society)**: Established in 1984, CAPEX promotes a cooperative model of cashew processing, encouraging worker participation, profit-sharing, and ethical practices. It strives to reduce the exploitation of workers commonly seen in private units, although its capacity to provide widespread employment is limited due to funding constraints and management issues.

Together, KSCDC and CAPEX have played an important role in offering structured, dignified employment in an otherwise highly informal sector.

3.8.2 Labour Welfare Schemes

To improve the living and working conditions of cashew workers, the government has launched several welfare schemes. These include:

- **Employees' State Insurance (ESI)**: Provides healthcare coverage to registered workers and their families. However, many workers—especially in private factories—are not enrolled due to the informal nature of their jobs.
- **Provident Fund (PF) and Pension**: Intended to support long-term financial security for workers post-retirement. These benefits are more accessible to workers in KSCDC and CAPEX units but are often absent or irregular in private sector factories.
- **Maternity and Family Welfare Benefits**: Offered to women workers in formal units, these benefits are rarely extended to casual or contract workers in private units.
- **Cashew Workers Welfare Fund Board**: A statutory board that collects contributions from employers and government sources to fund pension schemes, medical aid, and education grants for workers' children.

Despite their scope, limited coverage, administrative delays, and low worker awareness reduce the actual reach of these welfare schemes.

3.8.3 Minimum Wage and Labour Regulation

The state government has notified minimum wage rates for cashew processing jobs, differentiated by tasks like shelling, peeling, grading, etc. These rates are designed to ensure fair compensation and protect workers from underpayment.

- **Labour inspections** are mandated to monitor wage implementation, workplace safety, and working hours.
- In practice, **compliance is weak** in many private units, where wage rates often fall below the mandated minimum.
- Workers, especially women, **fear retaliation or job loss** if they speak out against wage violations, making enforcement even more challenging.

3.8.4 Financial Assistance and Industry Support

To strengthen the industry's competitiveness and support modernization, the government has introduced several measures:

- **Subsidies and soft loans** for modernizing processing units and improving energy efficiency.
- **Grants and support** for value addition (e.g., flavored or organic cashew production) and export promotion.
- **Raw cashew procurement support** to stabilize factory operations during price fluctuations.

While these initiatives aim to enhance the industry's viability, the benefits often fail to reach small processors and worker cooperatives, and their indirect impact on workers remains limited.

3.8.5 Proposed Policy Reforms

Recognizing the need for long-term institutional support, there have been proposals for broader reforms:

- **Cashew Board of India**: A long-pending proposal that seeks to centralize regulation, ensure price stability, improve quality control, and promote research and development in the sector.
- **Skill development programs**: Proposed to help workers adapt to semi-mechanized processes, improve productivity, and diversify their employment options.
- **Social security inclusion**: There is an ongoing demand for comprehensive coverage of all cashew workers—especially informal ones—under national schemes such as **e-SHRAM** and **Ayushman Bharat**.

However, these reforms remain in various stages of proposal or pilot, and their practical realization is yet to be seen on the ground.

For government interventions to be truly effective, there must be better enforcement, wider coverage, stronger worker awareness, and a genuine commitment to inclusive policy implementation. Only then can the industry offer sustainable livelihoods and preserve its socio-economic value for Kerala, especially Kollam at large.

3.9 Conclusion

The cashew industry in Kollam stands as “a clear indication of Kerala's industrial tradition", with deep historical roots, a skilled labour force, and a global reputation for quality. Over the decades, it has evolved into a pillar of the regional economy, providing employment to thousands—particularly women from marginalized backgrounds—and contributing significantly to the state’s export earnings and local commerce.

This chapter has traced the historical emergence and global relevance of the cashew industry, highlighting how Kollam became a central hub in the international cashew trade. It also presented a comprehensive view of the structure and employment dynamics, emphasizing the industry’s dependence on manual labour, especially from women, and the diverse types of ownership models such as private factories, cooperatives, and public sector units.

The discussion revealed that while the industry plays a vital socio-economic role, it also suffers from a series of persistent challenges. These include the seasonal nature of employment, import dependency, rising global competition, occupational health risks, and the informalization of labour. The majority of workers—despite their contributions—continue to face economic instability, lack of social security, and poor working conditions. Women, who form the backbone of the workforce, are especially vulnerable due to wage disparities, health hazards, and minimal access to legal or institutional protections.

Government interventions, while commendable in principle—through institutions like KSCDC and CAPEX, as well as welfare schemes and modernization efforts—often fall short in practice. Implementation gaps, limited outreach, and weak enforcement have

prevented these measures from achieving their full potential. As a result, the vast informal workforce continues to operate without adequate safeguards or long-term security.

In sum, this chapter has shown that the cashew industry in Kollam is caught in a contradiction between its historic value and present-day vulnerabilities. Its survival and sustainability now depend not only on economic reforms but also on policy measures that prioritize worker welfare, fairness, and long-term livelihood security. A deeper understanding of these dynamics is essential for any effort aimed at improving the conditions of cashew workers and ensuring the continued relevance of this heritage industry in modern Kerala.

CHAPTER – 4

ANALYSIS AND INTERPRETATION

This chapter provides a detailed analysis and interpretation of the data collected from the survey conducted among cashew workers in Kollam, Kerala. The analysis focuses on key aspects such as income patterns, employment stability, working conditions, and the socio-economic challenges faced by the workers.

4.1 Demographic Profile of Respondents

The cashew industry in Kollam is a significant employment generator, particularly for women engaged in manual processing tasks such as shelling, peeling, and grading. Understanding the demographic profile of workers helps provide context for analysing their economic and employment conditions.

The survey was conducted on a convenient basis and recorded responses from 60 respondents, predominantly female (80%), reflecting the gender dynamics of the cashew industry in Kollam.

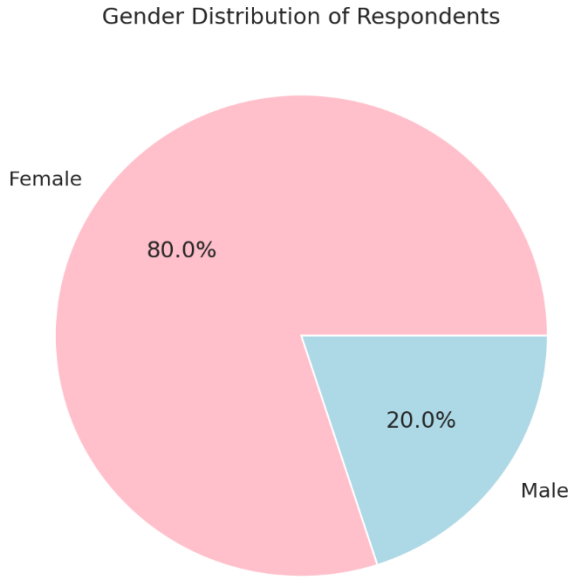


Chart 4.1.1 *Source: Primary Data*

Chart 4.1.1 depicts that the cashew industry has a higher participation of women, with 80% of the workforce being female. Male workers are mostly engaged in transportation, factory supervision, and mechanical roles.

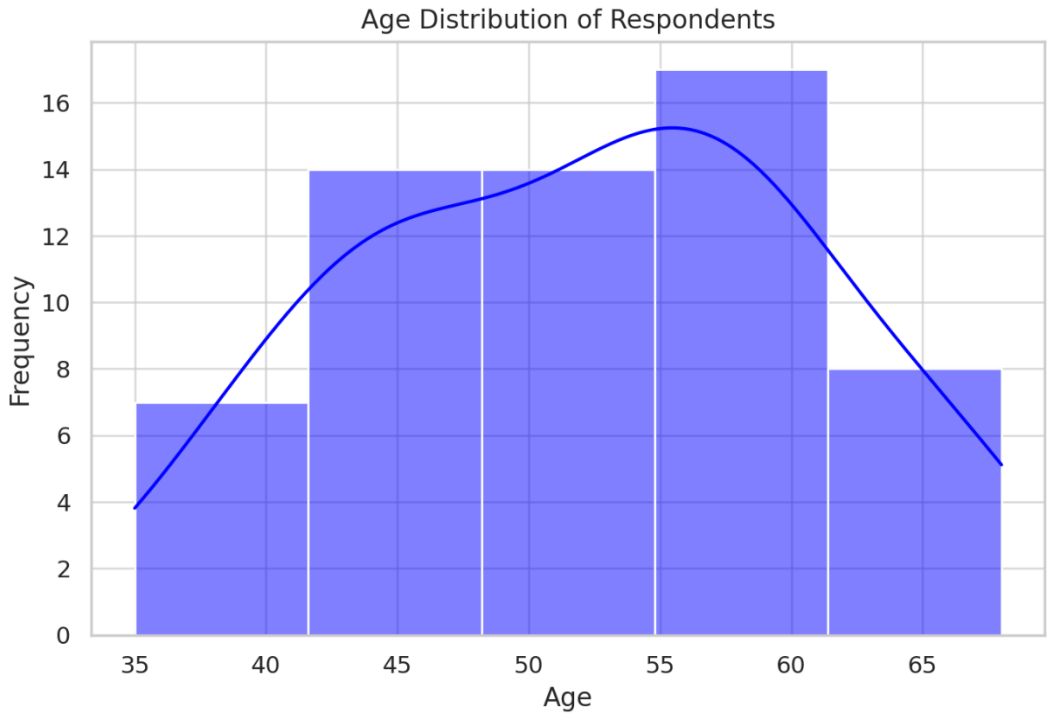


Chart 4.1.2 Age Distribution of Respondents *Source: Primary Data*

The Chart 4.1.2 visually demonstrates the age distribution of the cashew workers surveyed. It shows that:

- The largest group of respondents falls within the 55-60 age range.
- There is a significant number of respondents in the 40-55 age range.
- The number of younger workers (35-40) and older workers (60-70) is lower compared to the middle age groups.
- The distribution appears somewhat skewed towards the older age groups, with a peak in the late 50s.

.The age distribution data indicates an average age of 52.25 years, and the largest group is in the 46-55 age range. The low participation of younger workers (35-45 years) indicates that the industry is not attracting younger individuals, likely due to low wages and

unstable employment conditions. Also, the average number of dependents per cashew factory worker is 3.71, highlighting high financial responsibility and the impact of employment instability on family livelihoods. The histogram provides a more detailed view of how the respondents are distributed across different age categories.

4.2 Income Patterns and Stability

4.2.1 Wage Payment Frequency

Table 4.2.1 Wage Payment Frequency

Wage Payment Frequency	Number of Respondents	Frequency
Daily	5	8%
Weekly	45	75%
Monthly	10	17%

Source: Primary Data

Table 4.2.1 show that the 75% of workers receive wages weekly, reflecting the casual nature of employment in the industry. Those who receive wages monthly (17%) are mostly contract workers or those engaged in higher-skilled roles (supervisory or technical roles). Majority of respondents lack formal employment contracts, which make their jobs highly insecure and unstable.

4.2.2 Monthly Income

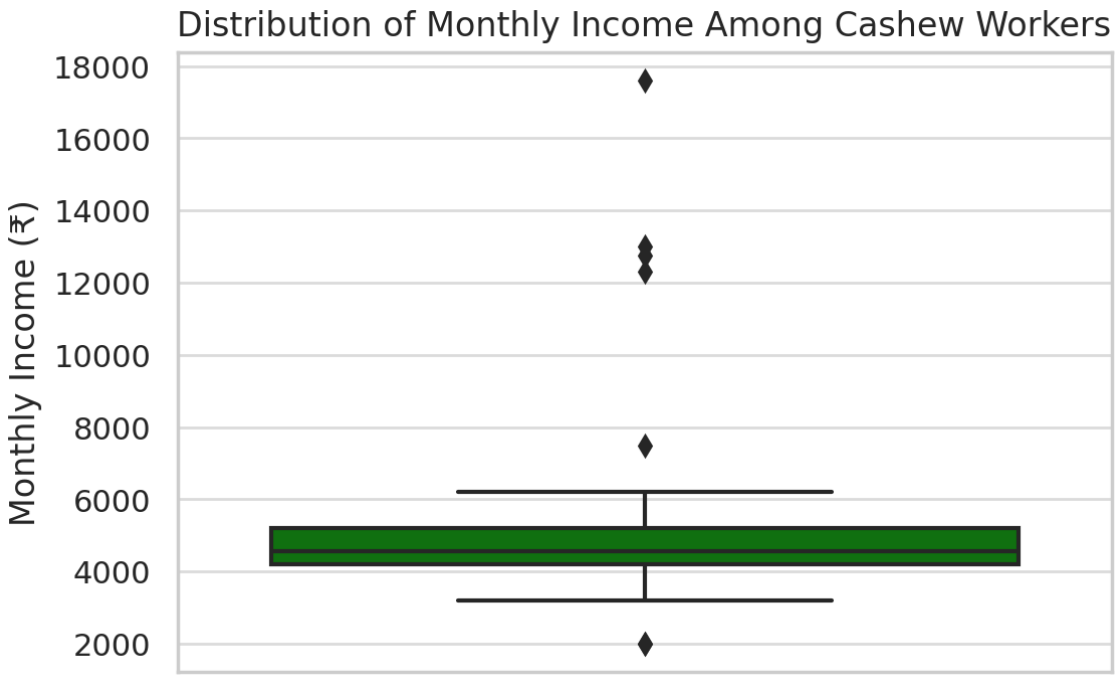
Table 4.2.2 Monthly Income of Workers

Income Range (₹)	Number of Respondents	Percentage
Below 4000	15	25%

4001 - 6000	41	68.33%
Above 6001	4	6.67%

Source: Primary Data

Table 4.2.2 shows that the majority of the workers (68.33%) earn between ₹4,000 and ₹6,000 while 25% workers earn below ₹4,000 and only 6.67% earn above ₹6,000. Those who earn above ₹6,000 are mostly who are engaged in technical or supervisory roles.



Source: Primary Data

Chart 4.2.2 Distribution of Monthly Income among Cashew Workers

The box plot (Chart 4.2.2) illustrates the distribution of monthly income among cashew workers, showing variability and potential outliers. It shows that the majority of cashew workers in the survey earn a monthly income concentrated between approximately ₹4,000 and ₹5,500. The median monthly income is around ₹5,000. There is some spread in the income, with a few workers earning considerably more and one earning significantly less than the majority.

4.2.3 Seasonal Fluctuations in Income

A significant majority of workers (85%) reported that their income fluctuates seasonally. The peak months when they earn higher income are June and July, while the lowest income is reported in January and February. A few respondents also reported earning higher wages in April and May, while December, January, and February marked periods of lower income. There are also workers who earn a fixed income throughout the year who mostly engaged in administration or supervisory jobs.

Table 4.2.3 Seasonal Income Fluctuations

Season	Income Level	Number of Respondents	Percentage
Peak (June-July)	High	51	85%
Off (Jan-Feb)	Low	51	85%

Source: Primary Data

Table 4.2.3 shows that the seasonal fluctuations in income create financial instability for workers, making it difficult to meet basic needs during off-peak months. This instability is worsened by the lack of alternative income sources, as only a small percentage of workers (10%) reported having secondary sources of income. But this 10% of workers are either seasonal or daily wage workers.

4.2.4 Wage Satisfaction and Income Security

The survey results reveal that there is significant dissatisfaction with wages among cashew workers in Kollam. Only 34% of the respondents expressed satisfaction with their wages, while 60% remain either neutral or dissatisfied. In addition to this, a small percentage (6%) are highly dissatisfied with their compensation. This dissatisfaction reflects widespread concerns about income security, as many workers feel that their earnings are not according with their work effort or the cost of living. These workers are

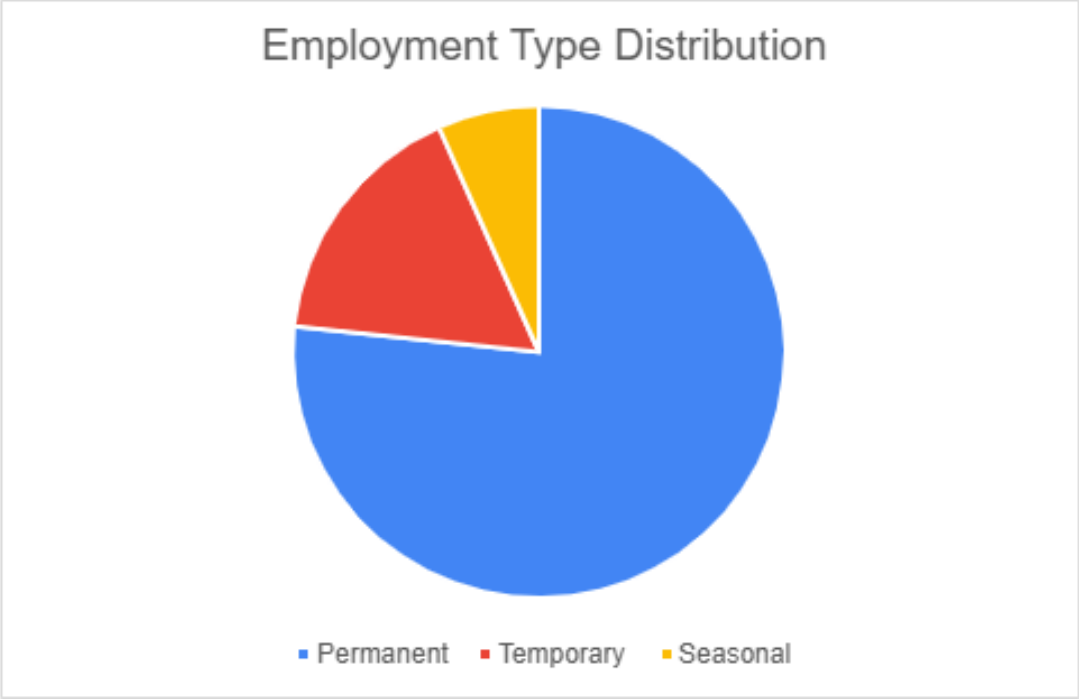
often exposed to seasonal income fluctuations, making them more vulnerable to economic pressures.

4.2.5 Dependence on a Single Income Source

Data also showed that 92% of workers rely solely on cashew processing as their primary source of income, highlighting a lack of economic diversification. This heavy dependence on a single sector leaves workers highly vulnerable to disruptions in the cashew industry, either caused by seasonal variations, market price fluctuations, or industry shutdowns. With limited options for secondary income, workers lack the resilience to withstand economic shocks, exacerbating their overall financial instability.

4.3 Employment Stability and Job Security

4.3.1 Type of Employment



Source: Primary Data

Chart 4.3.1 Employment Type Distribution

Chart 4.3.1 shows that the majority of workers (77%) are employed on a permanent basis, while 17% are temporary and 7% are seasonal workers. Most workers have permanent employment, but the lack of formal contracts and benefits undermines their job security. Many workers reported that their employment is contingent on the availability of raw cashews, which is subject to global market fluctuations. If there is a shortage of raw cashews, then there will be no work.

4.3.2 Existence of Employment Contracts

Approximately 33.34% of workers report that they do not have a formal employment contract, making them vulnerable to exploitative labour practices and are out of access to legal benefits such as paid leave, pension plans, and insurance. Formal contracts serve as a basis for job security and protect workers from arbitrary dismissal. The absence of these contracts implies that nearly one-third of the workforce is left without proper legal safeguards, making it difficult for them to demand fair treatment or compensation.

4.3.3 Job Losses or Layoffs

Table 4.3.1 Job Losses or Layoffs

Faced Job loss or Layoffs	Count	Percentage
Yes	23	38.33%
No	37	61.67%

Source: Primary Data

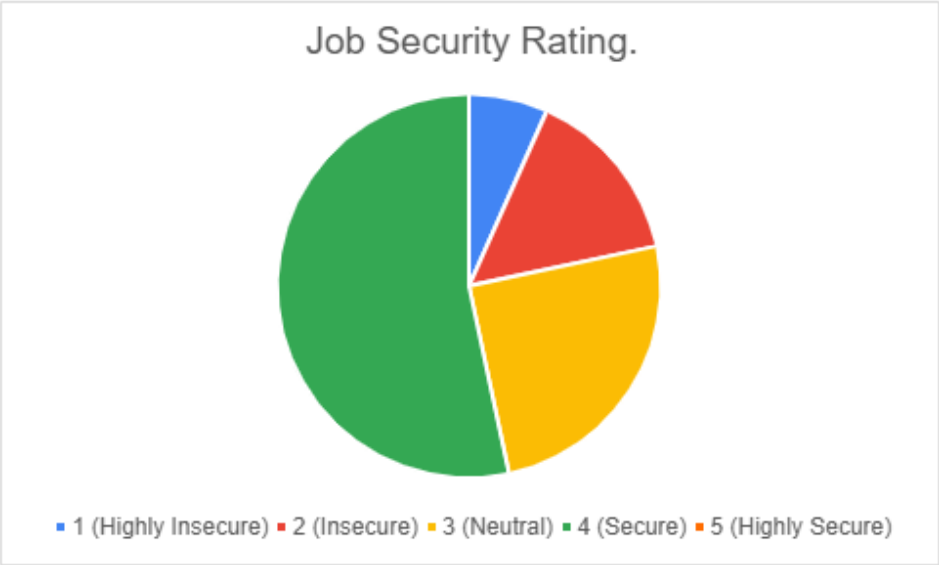
Table 4.3.1 show that :

- 38.33% of the workers responded that either face job loss or layoffs mainly due to the shortage of raw cashews.
- The rest 61.67% are mostly the workers who are permanent and have engaged in work for long years in the industry.

This shows that the workers are vulnerable to job losses and layoffs due to various factors such as the shortages of raw cashews, closure of cashew processing units, etc.

4.3.4 Job Security

For the study workers were asked to rate their job security on a scale of 1 to 5 (1 = Highly Insecure, 2 = Insecure, 3 = Neutral, 4 = Secure and 5 = Highly Secure).



Source: Primary Data

Chart 4.3.2 Job Security Rating

Chart 4.3.2 shows the job rating by the cashew workers. The job security perception among cashew workers reveals that 4 workers (6.67%) feel highly insecure, 9 workers (15%) feel insecure, 15 workers (25%) feel neutral, and 32 workers (53.33%) feel secure in their current jobs. Majority of workers feel secure, but a significant portion (21.67%) experience insecurity, reflecting the insecure nature of employment in the cashew industry. This insecurity is likely influenced by the seasonal nature of the work, lack of formal contracts, and dependence on fluctuating global market conditions.

4.4 Working Conditions and Benefits

Table 4.4.1 Job Related Benefits

Job Related Benefits	Number of Respondents
Provident Fund	2
ESI	2
Paid Leave	30
None	26

Source: Primary Data

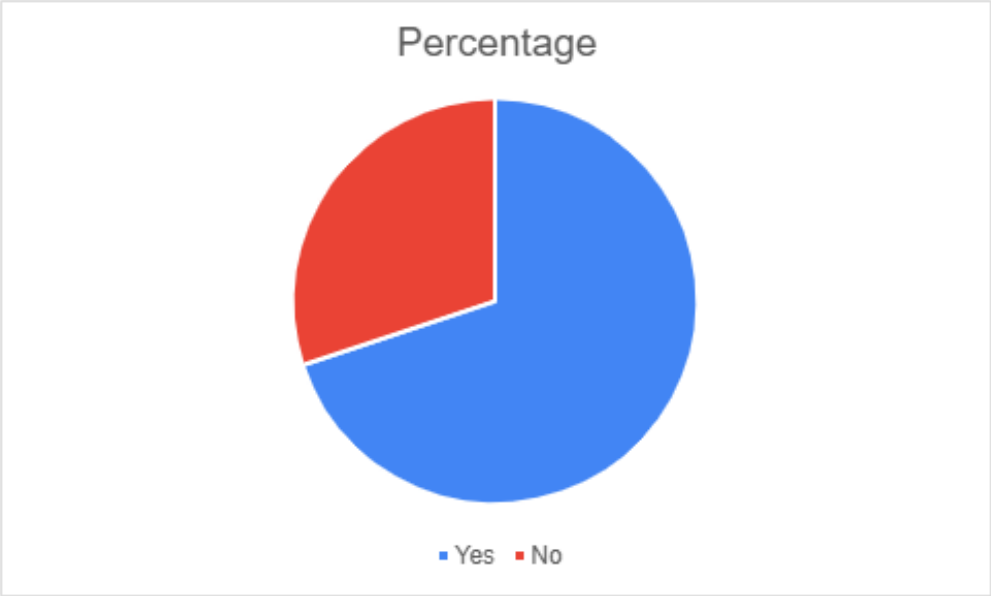
The survey revealed that 70% of workers do not receive any job-related benefits, such as paid leave, healthcare, or retirement benefits. Only 30% of workers reported receiving some form of benefits, primarily those in permanent positions. This leads them to a situation where it faces difficulties in meeting the basic needs, vulnerable to economic fluctuations.

4.5 Socio-economic impacts of income and employment instability on quality of life

4.5.1 Fixed Working Hours with Quantity-Based Targets

The survey reveals that almost all the cashew workers have a standard working schedule of 8 hours per day, it is important to note that their wages are not solely based on time spent, but rather on the quantity of work completed within that period. Even if the working hours are fixed, workers are required to complete a specific amount of work (output target) to earn their full wages, i.e., the work is also based on Quantity-based targets.

4.5.2 Financial Security



Source: Primary Data

Chart 4.5.1 Financial Security

The study reveals that the 69.9% of workers report that their income does not meet basic household expenses, including food, education, and healthcare. Workers expressed concerns about increasing living costs while their wages remained stagnant. Women-headed households face greater financial struggles due to limited secondary income sources.

4.5.3 Lack of Savings and Financial Vulnerability

Table 4.5.1 Financial Vulnerability

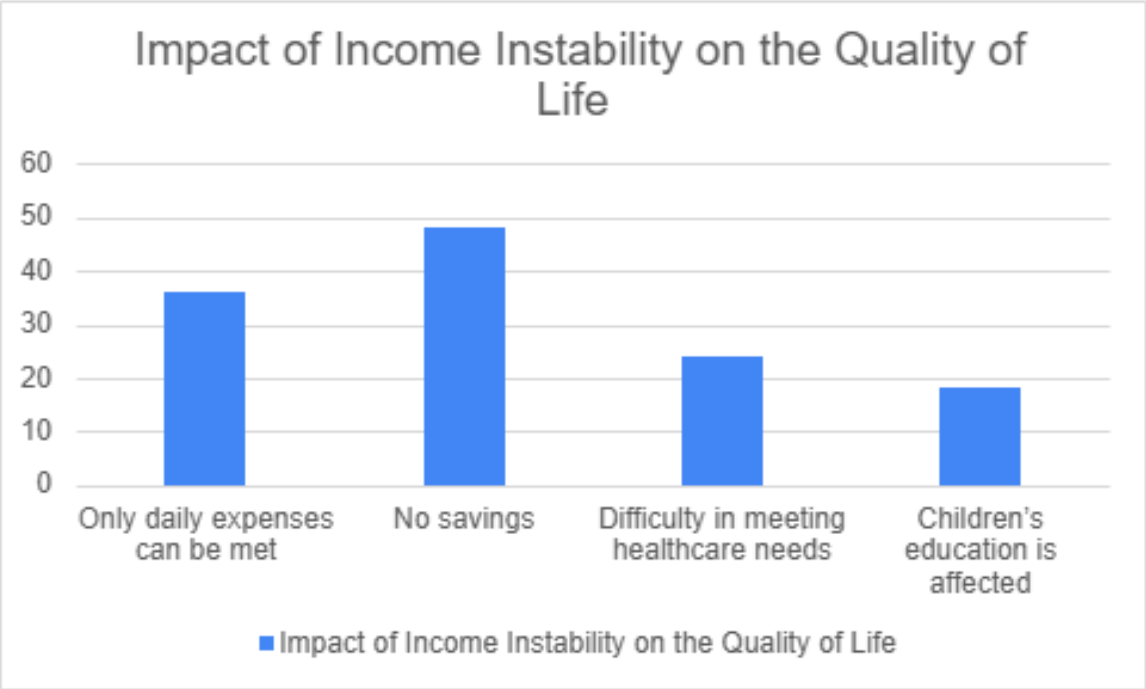
Do you save regularly?	Number of Respondents	Percentage
No	51	85%
Yes	8	13.3%

Source: Primary Data

The table 4.5.2 shows 85% of workers do not have savings, making them vulnerable to financial crises such as health emergencies, unemployment, or family obligations. Only

13.3% of workers save regularly, mainly those with additional income sources or support from family members.

4.5.4 Impact on Quality of Life



Source: Primary Data

Chart 4.5.2 Impact of income instability

The inability to save and difficulty in meeting basic needs highlights the socio-economic vulnerability of cashew workers. Many workers reported that they are unable to afford healthcare or invest in their children's education, which has long-term implications for their families' well-being. It leads the workers to increased financial stress, poor living standards, and limited upward mobility.

4.6 Factors Influencing Income and Employment Security

4.6.1 Impact of Seasonal Employment

Table 4.6.1 Seasonal Employment Impact

Does seasonality affect livelihood?	Number of Respondents	Percentage
Yes	56	93.3%
No	3	6.7%

Source: Primary Data

Table 4.6.1 shows the impact of the seasonal employment on the cashew workers. It is shown that a majority of workers (93.3%) feel that the seasonal nature of employment negatively affects their livelihood, highlighting job instability.

Workers also face the following challenges such as,

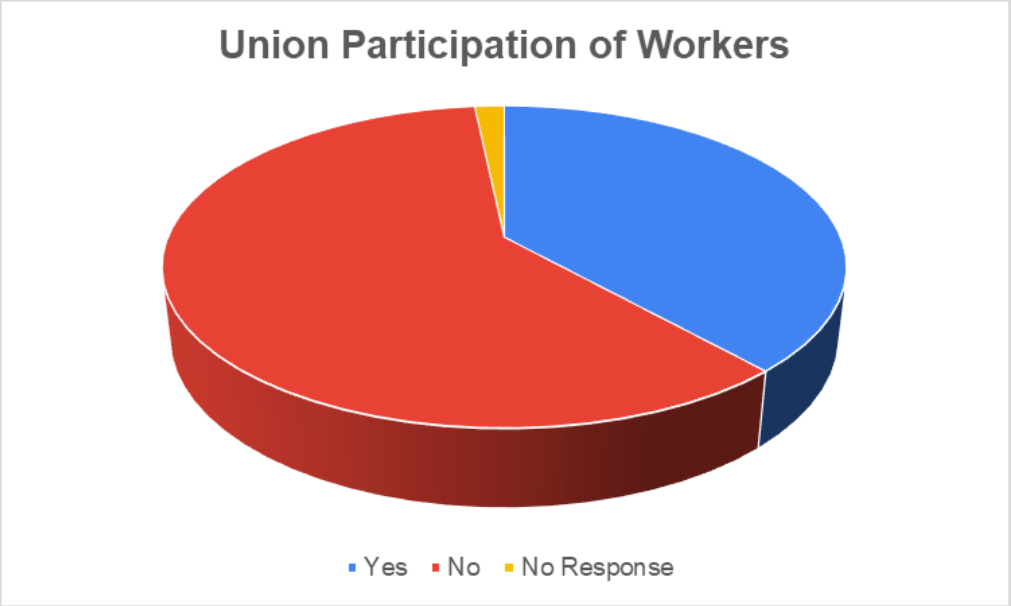
- low wages,
- irregular employment,
- poor working conditions,
- lack of benefits,
- job security.

Most workers reported low wages (61%), lack of benefits like paid leave or healthcare (71.2%) and job insecurity due to temporary or seasonal nature of jobs(35.6%).

4.6.2 Worker's Union Participation

The data also show that union participation among cashew workers in Kollam is relatively low, with only 38.33% actively involved in any workers' union, while a significant 60% are not part of any union. This lack of collective representation limits

their ability to negotiate for better wages, secure working conditions, and job-related benefits.



Source: Primary Data

Chart 4.6.1 Union Participation of Workers

4.7 Government Policies

55.2% of workers believe government policies are insufficient to address their financial challenges. Their recommendations to improve the current situation mainly included raising wages, better employment benefits, stronger labour protections, etc. These recommendations suggest that a comprehensive policy intervention is needed to enhance income security and stabilize employment in the cashew sector.

4.8 Recommendations by the workers

Workers have suggested several measures to improve job stability and income security in the cashew industry , including higher wages, better benefits, and more formal job

contracts. A considerable portion (40%) advocates for higher wages, while 30% call for better benefits such as paid leave and maternity support. Additionally, job security measures such as formal contracts and off-season support are viewed as crucial by 20% of respondents. Skill development programs are also recommended by some of the cashew workers to help workers diversify their income sources, making them less reliant on the seasonal nature of cashew processing and maintain a reasonable standard of living.

CHAPTER - 5

FINDINGS, SUGGESTIONS AND CONCLUSION

5.1 Introduction

The cashew industry in Kollam, Kerala, plays a vital role in providing employment, particularly to women from economically vulnerable sections of society. This traditional labor-intensive sector has contributed significantly to regional development and export earnings. However, the workers engaged in cashew processing often face multiple socio-economic challenges, including low wages, irregular employment, lack of social security, and poor working conditions. These challenges have raised serious concerns about income security and employment stability among the workers, which form the central focus of this study.

The study was conducted with a clear objective to examine the income and employment conditions of cashew workers and understand how these aspects influence their overall quality of life. Using data collected from a structured survey of 60 cashew workers in Kollam, the analysis revealed key insights into demographic factors, wage patterns, employment status, financial vulnerability, and the socio-economic impact of seasonal fluctuations in work. The previous chapter offered an in-depth analysis and interpretation of the data, uncovering the various dimensions of insecurity and instability that workers experience throughout the year.

This chapter builds upon that analysis by summarizing the major findings in a structured manner aligned with the study's objectives. The findings are categorized under different areas such as income patterns and earnings stability, employment conditions and job security, socio-economic impacts, and external influencing factors like seasonality and lack of government support. Presenting findings in this objective-wise format ensures clarity and coherence which helps in establish a direct link between the research goals and the results obtained from the field.

In addition to highlighting the findings, this chapter also includes practical suggestions derived both from the insights of the respondents and the researcher's analysis. These suggestions aim to address the gaps identified in the existing employment system—such as the need for better wages, formal employment contracts, social welfare benefits, and skill development. The views and recommendations provided by workers have been integrated with evidence-based proposals to make the suggestions both grounded and actionable.

Finally, the chapter concludes with a comprehensive summary and reflection on the study's implications. It emphasizes the urgent need for policy reforms and institutional support to ensure the socio-economic upliftment of cashew workers. In doing so, this chapter not only consolidates the findings of the study but also contributes to the broader discourse on labor rights, decent work, and inclusive development within traditional industries like cashew processing.

5.2 Major Findings

This section presents the key outcomes derived from the field survey and analysis of data collected from cashew workers in Kollam. The findings are grouped into two segments: General Findings, which summarize overarching patterns observed during the study, and Findings Related to Objectives, which specifically align with the research aims outlined in the initial chapters.

5.2.1 General Findings

1. **Gender Composition**: The cashew industry in Kollam is dominated by female workers, who make up 80% of the workforce, primarily engaged in manual processing roles such as shelling and peeling.
2. **Age Demographics**: A significant proportion of workers fall within the age group of 40 to 60 years, indicating an ageing workforce and limited interest among younger generations due to unattractive wages and work conditions.

3. **Nature of Employment**: Although 77% of respondents are designated as permanent workers, many of them lack formal contracts, leading to employment insecurity.
4. **Wage Patterns**: A large share of workers earns between ₹4,000 and ₹6,000 per month, with 75% being paid weekly. Only a small minority receive monthly wages or earn more than ₹6,000.
5. **Seasonal Dependency**: Income is heavily influenced by seasonal fluctuations, with peak earnings in June–July and low earnings in January–February. Workers have limited options for off-season employment.
6. **Lack of Benefits**: 70% of workers do not receive any job-related benefits such as ESI, provident fund, or paid leave, revealing a major gap in social security coverage.
7. **Financial Vulnerability**: 85% of workers do not save regularly and report difficulties meeting basic expenses like food, education, and healthcare.
8. **Job Insecurity**: 38.33% of respondents reported having faced layoffs, and 21.67% rated their jobs as insecure or highly insecure due to the seasonal and volatile nature of the industry.
9. **Union Participation**: Only 38.33% of workers are involved in any form of labor union or collective body, limiting their bargaining power and representation.
10. **Perceived Policy Inadequacy**: 55.2% of workers feel that existing government policies are insufficient to address their employment and income-related problems.

5.2.2 Findings Related to Objectives

Objective 1: To assess the income patterns and earnings stability of cashew workers in Kollam.

- The majority (68.33%) of respondents earn ₹4,000–₹6,000 monthly, with 25% earning even less.
- Income levels are inconsistent due to seasonal variations; 85% reported income drops during off-peak periods.
- Only 34% expressed satisfaction with their wages, while 66% remained neutral or dissatisfied.
- Most workers lack secondary income sources, and 92% are solely dependent on cashew processing.

Objective 2: To examine employment stability and job security in the cashew processing industry.

- Despite the high number of permanent workers (77%), 33.34% do not have formal contracts.
- Nearly 38.33% reported layoffs or loss of work due to raw material shortages and factory closures.
- 21.67% of workers rated their job security as either insecure or highly insecure.
- Only 30% receive job-related benefits, and seasonal disruptions often lead to employment breaks.

Objective 3: To identify socio-economic impacts of income and employment instability on workers' quality of life.

- A majority (69.9%) of workers stated that their income is not sufficient to meet basic household expenses.

- 85% do not save regularly, indicating a lack of financial buffer during emergencies or job loss.
- Workers expressed difficulties affording healthcare, education, and other essential needs, resulting in poor living standards.
- Households headed by women are more vulnerable due to the absence of secondary earners.

Objective 4: To investigate factors influencing income and employment security, such as seasonality and wage policies.

- 93.3% of workers confirmed that seasonal fluctuations negatively affect their income and job availability.
- Low wages (reported by 61%), irregular employment, lack of benefits (71.2%), and job insecurity (35.6%) are recurring challenges.
- Limited union involvement and low policy enforcement contribute to poor protection of labor rights.

Objective 5: To provide policy recommendations to enhance income security and employment stability for cashew workers.

- Workers suggested improvements such as higher wages (40%), job-related benefits (30%), and formal employment contracts (20%).
- Suggestions also included seasonal support, maternity benefits, and government-backed skill development programs.
- There is a clear demand for stronger institutional support and government intervention to uplift worker welfare.

5.3 Suggestions

Based on the findings from the survey and field analysis, it is evident that the cashew workers in Kollam face a range of economic and employment-related challenges. These issues rise from low and unstable incomes, absence of formal contracts, lack of social security, and limited access to skill development or alternative livelihood options. The following suggestions are proposed to address these challenges and improve the overall livelihood security of cashew workers:

5.3.1 Revision and Regulation of Wages

There is an urgent need to revise the current wage structure in the cashew industry to ensure that workers receive fair and sustainable wages. A standardized minimum wage policy, indexed to inflation and local cost of living, should be implemented and regularly reviewed by labor departments and industry regulators. This would help address widespread wage dissatisfaction and improve the standard of living for workers.

5.3.2 Formalization of Employment Contracts

Government and industry authorities must ensure that all the workers are provided with formal employment contracts. These contracts should clearly specify job roles, working hours, wages, benefits and grievance redressal mechanisms. Formal contracts will help ensure job security, prevent arbitrary dismissals, and protect workers' rights.

5.3.3 Strengthening Social Security Measures

The study revealed that most workers do not have access to ESI, provident fund, or paid leave. Social security schemes should be extended to all workers, regardless of whether they are permanent, temporary, or seasonal. Employers should be made legally accountable for enrolling workers in welfare schemes and ensuring timely contributions.

5.3.4 Seasonal Income Support and Off-Season Employment

Since income fluctuations during off-season months are a major concern, the government could introduce support programs such as seasonal unemployment allowances or job opportunities through schemes like MGNREGA during lean periods. This would help bridge income gaps and prevent workers from falling into debt or poverty during factory closures.

5.3.5 Promotion of Skill Development and Livelihood Diversification

Skill development initiatives should be designed specifically for cashew workers to help them upgrade their capabilities or transition into other income-generating activities during off-seasons. Training in areas such as food processing, tailoring, or small-scale entrepreneurship could offer viable alternatives or supplementary income.

5.3.6 Strengthening Worker Unionization and Collective Bargaining

Low levels of union participation have limited the bargaining power of workers. Awareness campaigns and institutional support should be provided to encourage worker organization. Stronger unions can help advocate for better wages, contracts, and benefits, thereby improving the negotiating position of cashew workers.

5.3.7 Gender-Sensitive Interventions

Since the majority of cashew workers are women, policies and welfare programs should be gender-sensitive. Maternity benefits, childcare support, and health awareness programs must be implemented to support female-headed households and reduce the disproportionate burden placed on women in the workforce.

5.3.8 Strengthening Government Oversight and Policy Enforcement

Government agencies must play a more active role in monitoring labor practices in the cashew industry. Regular inspections, transparent reporting systems, and strict enforcement of labor laws can help curb exploitative practices and ensure that factories comply with minimum wage and welfare regulations.

These suggestions are aimed at creating a more stable, dignified, and secure employment environment for cashew workers. Implementing these measures will not only benefit the workers but also improve the long-term sustainability and productivity of the cashew processing sector.

5.4 Conclusion

The comprehensive analysis of data gathered from the study on "A Socio-Economic Study of Income Security and Employment Stability Among Cashew Workers in Kollam" offers valuable insights into the conditions, challenges, and lived realities of workers in this traditional labor-intensive sector. Through detailed examination and interpretation of the findings, along with the formulation of focused suggestions, several key conclusions can be drawn.

Firstly, the study underscores the central role of the cashew industry as a source of livelihood for a predominantly female workforce in Kollam. The data reveals significant income disparities, seasonal fluctuations, and an overdependence on a single income source, highlighting the economic vulnerability of these workers. Furthermore, the findings reveal that while a majority of workers are categorized as permanent, the lack of formal contracts and job-related benefits compromises the very idea of employment stability.

Secondly, the study sheds light on the socio-economic consequences of income and job insecurity. A large proportion of workers are unable to meet basic household needs, save regularly, or withstand financial shocks, indicating a high degree of financial fragility. The analysis also illustrates the limited effectiveness of current government interventions and the low levels of union participation, both of which reduce the workers' ability to demand fair treatment and improved working conditions.

Moreover, the study emphasizes the pressing need for systemic reforms in the cashew sector. The suggestions outlined in the research highlight the importance of wage revision, formalization of employment contracts, seasonal support mechanisms, skill

development, and improved access to social security. By implementing these measures, stakeholders—including policymakers, factory owners, and labor welfare boards—can contribute to building a more stable, secure, and equitable work environment for cashew workers.

In conclusion, the findings of this study reveal the urgent need to address the socio-economic insecurities that affect a significant portion of Kollam's cashew workforce. By recognizing the realities of seasonal employment, income instability, and informal work arrangements, stakeholders can initiate meaningful interventions that improve not just economic outcomes but also the overall quality of life for these workers. Through targeted policy reforms, worker empowerment, and sustainable employment strategies, the cashew industry can evolve into a more just and inclusive model of labor-intensive development.

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